EXECUTIVE SUMMARY

1. Introduction

The City Government of Tuguegarao, Cagayan (City), was originally created in May 1604 as a "mission pueblo". No record is available establishing the law creating the Municipality. However, Cagayan's first City was created by Republic Act No. 8755, "An Act converting the Municipality of Tuguegarao, Cagayan Province into a component City to be known as Tuguegarao City." R.A. No. 8755 was approved on November 4, 1999 and ratified on December 18, 1999.

The audit covered the accounts and operations of the City for the year 2024 and was aimed at determining whether management presented fairly its financial statements in adherence with generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

The Audit Team performed post-audit of disbursements and examination of cash and accounts of accountable officers, conducted interviews and walkthroughs, reviewed and analyzed financial statements and related accounting records, reviewed the implementation of programs and projects and performed other audit procedures as deemed necessary.

2. Scope and Objectives of Audit

The scope of the audit covers the period ending December 31, 2024.

The objective of the audit is to determine whether the resources of the City have been managed, expended or utilized in accordance with existing laws, rules and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The audit also aims to allow the Audit Team to render an opinion on the fairness of the financial statements of the City.

3. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the City for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Accounts	2024	2023	Increase/ (Decrease)
Financial Condition:			
Assets	₱4,909,278,026.68	₱4,755,696,722.35	₱153,581,304.33
Liabilities	1,323,381,986.04	1,342,001,141.32	(18,619,155.28)
Government Equity	₱3,585,896,040.64	₱3,413,695,581.03	₱172,200,459.61

Accounts	2024	2023	Increase/ (Decrease)
Results of Operation:			
Income	₱1,465,722,146.22	₱1,328,465,373.08	₱137,256,773.14
Expense	1,184,642,113.21	1,161,796,111.37	22,846,001.84
Net Income	₱281,080,033.01	₱166,669,261.71	₱114,410,771.30
Appropriations, Allotments and Obligations:			
Appropriations – Current	₱1,568,978,181.74	₱1,523,807,140.00	₱45,171,041.74
Allotments – Current	1,568,978,181.74	1,523,807,140.00	45,171,041.74
Allotments – Continuing	611,297,908.10	781,995,422.34	(170,697,514.24)
Obligations – Current	1,249,898,538.69	1,170,902,599.47	78,995,939.22
Obligations – Continuing	₱235,381,805.69	₱273,990,205.92	(₱38,608,400.23)

4. Operational Highlights

The following infrastructure projects charged under the different sources of funds of the City were completed in CY 2024:

Project/Program/Activity Name	Location	Total Cost Incurred
Construction of Masonry Drainage	Perez Street, Pallua Sur	1,084,210.63
Rehabilitation of Masonry Drainage	Rubia Street, Zone 6, Panacal Village, Tanza	638,201.24
Construction of RCPC Drainage	Along Lagundi Steet, Cataggaman Viejo	3,539,186.51
Land Improvement	Tuguegarao City Hall Compound	980,183.77
Reconstruction of Masonry Drainage	Centro 9	996,646.17
Construction of Masonry Drainage	Taguinod Street, Linao East to Annafunan East	19,981,535.50
Perimeter Fence	Agricultural Training Center Demo Farm (Gosi Norte)	4,843,895.09
Upgrading/Improvement of TCCC	Multi-Purpose Center	6,623,728.80
Construction & Rehabilitation of Covered Walk	Caritan Sur, along CSU Andrews Compound & TNCS	1,880,510.00
Extension of Barangay Gym (Evacuation Center)	Caggay	994,386.30
Construction of Multi-Purpose Building	Gosi Norte (Demo Farm)	1,498,632.92
Construction of Multi-Purpose Building	Gosi Norte - Linao East	2,116,676.88
Upgrading/Rehab./Imp. of Multi-Purpose Building	Linao West	1,076,909.77
Upgrading/Rehab./Imp. of Multi-Purpose Building	Namabbalan Sur	1,987,940.60
Concreting of Road	Atulayan Norte - Aljanes Street	1,921,281.39
Concreting of Road	Caggay - Argus Street	6,328,408.49
Concreting of Road	Cataggaman Pardo - Melad Street	471,643.16
Concreting of Road	Gosi Sur - Canaya Street Extension	1,881,518.78
Concreting of Road	Larion Alto - Zone 3	823,164.38

Project/Program/Activity Name	Location	Total Cost Incurred
Concreting of Road	Larion Bajo - Zone 2 & 3	1,226,073.34
Concreting of Road	Libag Sur - Zone 1 & 3	1,378,998.36
Concreting of Road	Libag Sur - Zone 2	498,950.00
Concreting of Road	Linao East - along Multi-Purpose Building	2,361,172.41
Concreting of Road	San Gabriel - Tindalo Street	989,057.94
Concreting with Drainage	Gosi Norte - Alley A	1,884,967.60
Concreting with Drainage	Ugac Norte - Diversion Road	621,598.40
Concreting with Drainage	Ugac Norte - Luna Street Extension	1,342,930.95
Concreting of Farm to Market Road	Cataggaman Pardo - Melad Street	471,643.16
Concreting of Farm to Market Road	Libag Norte - Camia Street Extension	803,122.71
Concreting of Farm to Market Road	Namabbalan Norte - Zone 4 & 5	1,878,508.71
Concreting of Farm to Market Road	Tagga - Maguddayao Street	1,885,667.50
Construction of Sidewalk with Rehabilitation of Drainage	Centro 2, 3, 4 along Luna Street (South side), Mabini Street to Lecaros Street (East side)	10,683,938.76
Upgrading of Tuguegarao City Commercial Center	Centro 07	38,573,148.81
Construction of Drainage	Annafunan East - Aquino Street	1,921,303.41
Construction of Drainage	Atulayan Sur - Maguigad & Tuliao Street	1,988,275.21
Construction of Drainage	Bagay - Provincial Road	1,921,260.25
Construction of Drainage	Buntun - along Zone 5 & 6	986,577.93
Construction of Drainage	Buntun - Caranguian Street	994,962.84
Construction of Drainage	Caggay - Banal & Sampaguita Street	971,849.73
Construction of Drainage	Capatan - Ipil-Ipil Street	1,925,758.77
Construction of Drainage	Carig Norte - along Zone 4	1,919,616.70
Construction of Drainage	Carig Sur - Macababbad Street	1,993,450.46
Construction of Drainage	Caritan Centro - Campos Street	1,440,767.94
Construction of Drainage	Caritan Centro - Reyno Street	551,248.05
Construction of Drainage	Caritan Norte - along Zone 6 & 7	1,993,258.85
Construction of Drainage	Catag. Nuevo - Adducul Street	1,885,172.24
Construction of Drainage	Catag. Pardo - Provincial Road	998,201.97
Construction of Drainage	Catag. Viejo - Atal Street	1,906,493.28
Construction of Drainage	Centro 06 - Rizal & Arellano Street	1,993,734.66
Construction of Drainage	Centro 07 - Blumentritt Street	1,883,633.03
Construction of Drainage	Centro 09 - Rizal & Arellano Streets	1,997,557.87
Construction of Drainage	Centro 10 - Valenzuela, Gonzaga, Gomez Streets	1,990,984.69
Construction of Drainage	Centro 11 - Servando Liban Street	1,000,000.00

Project/Program/Activity Name	Location	Total Cost Incurred
Construction of Drainage	Centro 11 - Pagulayan Street	1,000,000.00
Construction of Drainage	Centro 12 - Langcay Street (Interior)	992,487.56
Construction of Drainage	Dadda - Cagurangan Street	518,880.00
Construction of Drainage	Larion Bajo - Zone 4	659,798.72
Construction of Drainage	Leonarda - Turingan Street	992,977.41
Construction of Drainage	Libag Norte - Camia Street	1,075,731.56
Construction of Drainage	Linao East - Cagurangan & Macababbad Streets	1,892,548.08
Construction of Drainage	Linao Norte - Taguinod Street	1,943,068.94
Construction of Drainage	Pallua Sur - Mallillin Street	1,983,363.43
Construction of Drainage	Pengue-Ruyu - Apple Street	1,997,923.63
Construction of Drainage	San Gabriel - Everest Street to Elementary School	1,995,902.26
Construction of Drainage	Tanza - Siniguelas Street	1,886,328.13
Rehabilitation of Drainage	Centro 01 - Burgos Street to Barangay Hall	1,998,552.93
Rehabilitation of Drainage	Centro 05 - Alley Beside CPPO-Lecaros Street	684,568.50
Rehabilitation of Drainage	Centro 08 - College Avenue & Legaspi Street	1,992,674.01
Rehabilitation of Drainage	Pallua Norte - Calubaquib & Darauay Streets	1,998,426.84
Total		**180,145,778.91**

5. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the presentation of the financial statements of the City as of December 31, 2024 due to the following:

1. Reconciling items totaling ₱1.728 million remained unadjusted in the City's books of accounts, affecting the fair presentation of the Cash in Bank – Local Currency, Current Account (LCCA) in the Statement of Financial Position as of December 31, 2024.

2. Deficiencies were noted, totaling ₱1.784 million, in the provision of depreciation expense for various CY 2024 acquired Property, Plant, and Equipment (PPE) of the City, resulting in the understatement of Depreciation Expense and Accumulated Depreciation accounts as of December 31, 2024.

3. Completed PPEs for CY 2024 totaling ₱24.995 million were misclassified into different accounts in the books of the City, consequently affecting the fair presentation of the PPE accounts as of December 31, 2024.

4. Improvement opportunities were noted in the recording of inventories, including the misclassification of procurements, delayed recognition of expenses, and recording of inventory utilizations, resulted in unreliable inventory balances and

misstated expenses, affecting the accuracy and fair presentation of the City's financial statements as of December 31, 2024.

5. Various disbursements incurred in CY 2024, amounting to ₱27.539 million, were misclassified under Donations and Other Maintenance and Operating Expenses, affecting the fair presentation of the related accounts in the City's financial statements as of December 31, 2024.

6. The unexpended balances of the CY 2024 Local Disaster Risk Reduction and Management Fund (LDRRMF) for the Quick Response Fund (QRF) and MOOE, totaling ₱8.051 million, were not recognized under the Trust Liabilities – DRRMF account at year-end, while the CY 2017 DRRMF balance amounting to ₱0.266 million was not reverted to the unappropriated surplus of the General Fund (GF), resulting in the misstatement of the trust liability account as of December 31, 2024.

6. Summary of Significant Findings and Recommendations

A. Discrepancies were noted in the computation of the Net Financial Contracting Capacity (NFCC) submitted by the winning bidders of projects implemented by the City in CY 2024 totaling ₱59.679 million, contrary to Sections 23.4.1.4 and 23.4.2.6 of the 2016 Revised Implementing Rules and Regulations (IRR) of R.A. No. 9184.

We recommended the Management, through the BAC, to properly conduct bid evaluation and post-qualification proceedings in order to validate submitted documents and representations of the winning bidder, including the NFCC, in faithful compliance to relevant provisions of the 2016 Revised IRR of R.A. No. 9184 and in order to uphold integrity of the procurement processes of the City.

B. The City did not strictly enforce the requirement for Department of Labor and Employment (DOLE)-approved Construction Safety and Health Programs (CSHP) for various infrastructure projects in CY 2024 totaling ₱146.568 million, including Project PB-INF-2023-046, the completion contract for the reconstruction of the Tuguegarao City Public Market – Don Domingo amounting to ₱29.759 million, resulting in: (a) delays in CSHP submission for projects totaling ₱90.091 million; and (b) non-submission of approved CSHPs for projects totaling ₱86.236 million.

We recommended the Management, through the BAC and other City Offices, to ensure that all infrastructure projects undertaken by the City are supported by duly approved CSHP in strict compliance with Section 5 of DOLE Department Order No. 13 series of 1998 Section 37.2.3 (f) of the 2016 Revised IRR of RA No. 9184 in order to protect the interest of the City.

C. The City did not strictly enforce the posting of Performance Securities by contractors/suppliers for CY 2024 procurements totaling ₱22.050 million, as prescribed under Sections 39.1 and 39.5 of the 2016 Revised IRR of R.A. No. 9184. Likewise, the validity of the Performance Security Bonds submitted for Projects PB-INF-2019-057 and PB-INF-2023-046, the two major contracts undertaken by the City for the reconstruction of the Tuguegarao City Public Market (Don Domingo) in Balzain East, Tuguegarao City, with a total project cost of ₱ 441.855 million, had lapsed, contrary to Section 39.6 of the same IRR, exposing the City to the risk of not being adequately compensated for costs arising from contractors'/suppliers' failure to fulfill their contractual obligations.

We recommended that the Management, through the BAC, ensure strict compliance with Section 39 of the 2016 Revised IRR of RA No. 9184 to protect the interest of the City by:

a. requiring the contractors for Projects PB-INF-2019-057 and PB-INF-2023-046 to submit the extended Performance Security Bonds to cover approved contract time extensions; and

b. ensure the posting of performance securities from winning bidders prior to the signing of contracts in strict compliance with Section 39.1 of the 2016 Revised IRR of RA No. 9184 and to protect the interest of the City.

D. The City did not strictly enforce the posting of Warranty Securities by contractors/suppliers for procurements totaling ₱42.991 million, as prescribed under Sections 62.1 and 62.2.3.3 of the 2016 Revised IRR of R.A. No. 9184, exposing the City to risk of not being adequately compensated of costs associated with manufacturing or structural defects attributable to the contractors'/ suppliers' fault.

We recommended that Management, through the CAO, take immediate steps to strictly enforce the posting of warranty securities by suppliers and contractors in the procurement of goods and infrastructure assets, in adherence to Sections 62.1 and 62.2.3.3 of the 2016 Revised IRR of RA No. 9184.

E. Variation orders accumulating to ₱4.278 million of projects implemented by the City in CY 2024, including net variation orders of Project PB-INF-2019-057 – Upgrading/Demolition/Reconstruction of the Tuguegarao City Public Market (Don Domingo), Balzain East, Tuguegarao City amounting to ₱6.844 million, were not supported with the additional documentary requirements prescribed under COA Circular No. 2012-001, affecting the transparency and accountability of the project implementation.

Further, a variation order amounting to ₱0.858 million, equivalent to 23 percent of its original contract cost of ₱3,741,037.14, exceeded the 10 percent

allowable limit of variation order prescribed under Section 1.1, Annex E of the Revised IRR of R.A. 9184.

We recommended the Management, through the CAO and CEO, the following:

a. compile and promptly submit the necessary documentary requirements supporting the approved variation orders for Project PB-INF-2019-057, including those outlined in this report;

b. ensure that all variation orders (VOs) are fully supported by the required documentation as prescribed under COA Circular No. 2012-001, promoting transparency and accountability and ensuring that all changes are justifiable and properly documented; and

c. observe the allowable limit of variation orders prescribed in Sections 1.1 and 1.4, Annex E of the Revised IRR of R.A. 9184.

F. The inconsistent application of retention money against progress payments for Project PB-INF-2019-057 – Upgrading/ Demolition/ Reconstruction of the Tuguegarao City Public Market (Don Domingo), Balzain East, Tuguegarao City, amounting to ₱ 412.095 million, which is contrary to Section 6, Annex E of the 2016 Revised IRR of RA No. 9184, resulted in a deficiency of ₱7.129 million in withheld funds.

Furthermore, the Retention Money Bond, presented as a substitute for the release of retention money totaling ₱32.970 million, is valid only until September 27, 2024. These gaps in the enforcement of retention money significantly compromised the City's financial safeguard, potentially affecting its ability to ensure the rectification of defects and deficiencies during project implementation.

We recommended that the Management, through the CEO and CAO, undertake the following actions to rectify the deficiencies observed:

a. require the contractor to increase the amount of the Bond to cover the entire amount of the revised contract cost, to ensure continued financial protection until the completion of the defects liability period; and

b. for future contracts, strictly adhere to the provisions of Section 6, Annex E of the 2016 Revised IRR of RA No. 9184 by applying the 10% retention on all succeeding progress payments.

G. As of December 31, 2024, an accumulated balance of ₱10.074 million in withholding taxes, mandatory deductions, and contributions arising from government obligations and disbursements had not been promptly remitted to the concerned agencies, contrary to the provisions of Section 69 of

Presidential Decree (P.D.) No. 1445 and other applicable laws, rules, and regulations, exposing the City to the potential risk of penalties due to the delayed remittance.

We recommended that Management, through the offices concerned, ensure strict compliance with the withholding and remittance of taxes, mandatory government deductions and contributions by:

a. promptly remitting intact all withheld funds and contributions during the month to the appropriate government agencies by the ensuing month, in faithful compliance with Section 69 of Presidential Decree No. 1445 and other applicable laws, rules, and regulations; and

b. sustaining ongoing efforts to analyze identified negative balances, further verifying their nature and cause, and making the necessary adjustments as needed to resolve any discrepancies.

H. The reconstruction of the Tuguegarao City Public Market (Don Domingo) in Balzain East, Tuguegarao City, with a total project cost of ₱ 441.855 million, remains uncompleted beyond the programmed completion date, consequently delaying the facility's intended use and deferring the anticipated return on investment from market rentals, stall fees, and commercial operations, that could have been leveraged to support other socio-economic programs and development.

We recommended that the Management, through the CEO, undertake the following actions to address the issues in the reconstruction of the Tuguegarao City Public Market (Don Domingo) and safeguard the interests of the City:

a. enforce a strict timeline for the final completion of the unfinished works identified during the preliminary inspection (punch list) for Project PB-INF-2019-057, and ensure that any remaining deficiencies are promptly addressed in compliance with project standards to prevent further delays;

b. evaluate whether liquidated damages should be imposed on the contractor for failing to complete the project within the agreed duration, including extensions and deduct the same from outstanding payments, to the Contractor; and

c. submit the other required reports and documents to the Audit Team to accurately assess the current status of the project and to facilitate validation and inspection.

7. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱ 264,789.14	₱0.00	₱0.00	₱ 264,789.14	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	₱ 264,789.14	₱0.00	₱0.00	₱ 264,789.14	0.00%
Disallowances					
Prior Years	₱5,494,954.15	₱0.00	₱0.00	₱5,494,954.15	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	₱5,494,954.15	₱0.00	₱0.00	₱5,494,954.15	0.00%
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%

Disallowances totaling ₱4,620,330.30 are on appeal with the Commission on Audit.

8. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in the 2023 Annual Audit Report are summarized as follows:

Implemented	21
Not implemented	12
Not implemented and reiterated in CY 2023 AAR	9
Total	**42**